

Cracks in credit: Navigating market shifts with historical perspective and actionable insights

Date: 2026-01-28

Source: <https://www.franklintempleton.com/articles/2025/institute/cracks-in-credit-navigating-market-shifts-with-historical-perspective-and-actionable-insights>

Extraction method: selenium

Cracks in credit: Navigating market shifts with historical perspective and actionable insights

Historical context: Credit markets through cycles

Credit markets have always reflected broader economic forces, cycling through periods of expansion, stress and recovery. Over the past two decades, investors have witnessed dramatic shifts—from the aftermath of the global financial crisis to the era of ultra-low interest rates, and now, a return to higher yields and renewed scrutiny of credit quality.

During the 2008 financial crisis, systemic risk and widespread defaults shook investor confidence. In the years that followed, central banks injected liquidity, supporting a prolonged period of low rates and robust corporate borrowing. This environment fostered risk-taking but also masked vulnerabilities that would only surface as monetary policy tightened.

The COVID-19 pandemic brought another wave of uncertainty, but credit markets rebounded quickly, buoyed by fiscal stimulus and resilient consumer demand. As economies reopened, investors grew accustomed to stability—yet history reminds us that credit cycles are inevitable, and cracks can emerge even in seemingly strong markets.

Recent developments: defaults and market resilience

In mid-October 2025, headlines have focused on a series of notable defaults, raising questions about the health of the credit market. However, a closer look reveals that these incidents are largely idiosyncratic, driven by company-specific challenges rather than systemic weakness.

Isolated defaults: Recent defaults have occurred in sectors facing unique pressures, such as commercial real estate and select consumer industries. These events, while significant, have not triggered broader contagion.

Market adaptability: Credit markets have demonstrated resilience, with investors and issuers adapting to evolving risk profiles.

Treasury rates: The 2022-2024 rise in Treasury yields shifted the fixed income landscape, offering new opportunities but also requiring careful assessment of duration and credit risk.

Panel insights: Franklin Templeton's perspective

Franklin Templeton leverages our cross-asset class and specialty investment teams to assess the current environment, to collaborate and gain valuable insights from different disciplines, which highlights several important themes. Our latest meeting on the credit environment revealed the following:

Resilience amidst defaults

Michael Buchanan, CIO of Western Asset Management, noted:

"We're seeing defaults, but they're not spreading across the market. The fundamentals—especially among consumers and large corporates—are still strong."

Idiosyncratic risks and sector stresses

Jacquelyne Cavanaugh, Portfolio Manager at Putnam, emphasized:

"It's critical to look beyond the headlines and assess each credit on its own merits. Diversification and due diligence are more important than ever."

Opportunities in a higher rate environment

Josh Lohmeier, Portfolio Manager at Franklin Templeton Fixed Income, observed:

?The rate environment is creating opportunities, but it?s also exposing weaknesses. Investors need to be selective and proactive.?

Instability can bring opportunity

Bill Zox, Portfolio Manager at Brandywine, highlighted:

?After an extended period of stability investors should prepare for instability. You want to face volatility and illiquidity from a position of strength because that is when the opportunities are plentiful.?

Downside risk mitigation

King Jang, Managing Director at Benefit Street Partners, added:

"We're hyper focused on LME [Liability Management Exercises] provisions, amongst other things, making sure that credit documents really offer the downside risk mitigation that we're supposed to get when investing in credit."

Actionable items for investor portfolios

Based on current market conditions and insights from Franklin Templeton?s panel, here are practical steps investors can consider to navigate the evolving credit landscape:

1. Maintain vigilance on idiosyncratic risks

Regularly review credit exposures, focusing on sectors and issuers with heightened risk.

Pay close attention to company fundamentals, management quality and sector trends.

2. Diversify holdings

Spread investments across sectors and issuers to mitigate the impact of isolated defaults.

Consider adding exposure to resilient sectors, such as technology and health care, while managing risk in more volatile areas.

3. Assess underwriting standards

Ensure that credit investments meet robust criteria, especially in stressed sectors.

Work with advisors to evaluate the quality of new issuances and existing holdings.

4. Monitor health indicators

Track consumer and corporate health metrics as leading signals for credit quality.

Use data-driven analysis to identify early signs of stress or opportunity.

5. Evaluate yield opportunities

Consider the risk-return profile of higher-yielding assets in today?s rate environment.

Balance the pursuit of income with prudent risk management.

6. Stay responsive to market changes

Be prepared to adjust portfolios as market conditions evolve.

Remain flexible and open to reallocating assets in response to new information.

7. Consult advisors regularly

Engage with Franklin Templeton advisors to align strategies with the latest market developments.

Leverage expert insights to make informed decisions and optimize portfolio outcomes.

Conclusion: Navigating uncertainty with confidence

We view the recent cracks in the credit market as serving as a reminder that vigilance, discipline, and adaptability are essential for long-term success. While defaults and sector stresses may capture headlines, the underlying resilience of the market?and the opportunities presented by higher rates?offer a constructive outlook for investors.

By maintaining a diversified, carefully constructed portfolio and staying attuned to market developments, we believe investors can navigate uncertainty with increased confidence. Franklin Templeton remains committed to providing timely insights and actionable guidance to help clients achieve their financial goals in any market environment.

WHAT ARE THE RISKS?

All investments involve risks, including possible loss of principal.

The allocation of assets among different strategies, asset classes and investments may not prove beneficial or produce desired results.

Diversification does not guarantee a profit or protect against a loss.

Fixed income securities involve interest rate, credit, inflation and reinvestment risks, and possible loss of principal. As interest rates rise, the value of fixed income securities falls.

Changes in the credit rating of a bond, or in the credit rating or financial strength of a bond's issuer, insurer or guarantor, may affect the bond's value. Low-rated, high-yield bonds are subject to greater price volatility, illiquidity and possibility of default.

WF: 7271808

Related Content

US consumer credit cracks? Auto loan woes signal a bifurcated economy

Explore other Franklin Templeton Institute content

RELATED CONTENT

IMPORTANT LEGAL INFORMATION

This material is intended to be of general interest only and should not be construed as individual investment advice or a recommendation or solicitation to buy, sell or hold any security or to adopt any investment strategy. It does not constitute legal or tax advice. This material may not be reproduced, distributed or published without prior written permission from Franklin Templeton.

The views expressed are those of the investment manager and the comments, opinions and analyses are rendered as at publication date and may change without notice. The underlying assumptions and these views are subject to change based on market and other conditions and may differ from other portfolio managers or of the firm as a whole. The information provided in this material is not intended as a complete analysis of every material fact regarding any country, region or market. There is no assurance that any prediction, projection or forecast on the economy, stock market, bond market or the economic trends of the markets will be realized. The value of investments and the income from them can go down as well as up and you may not get back the full amount that you invested. Past performance is not necessarily indicative nor a guarantee of future performance. All investments involve risks, including possible loss of principal.

Any research and analysis contained in this material has been procured by Franklin Templeton for its own purposes and may be acted upon in that connection and, as such, is provided to you incidentally. Data from third party sources may have been used in the preparation of this material and Franklin Templeton ("FT") has not independently verified, validated or audited such data. Although information has been obtained from sources that Franklin Templeton believes to be reliable, no guarantee can be given as to its accuracy and such information may be incomplete or condensed and may be subject to change at any time without notice. The mention of any individual securities should neither constitute nor be construed as a recommendation to purchase, hold or sell any securities, and the information provided regarding such individual securities (if any) is not a sufficient basis upon which to make an investment decision. FT accepts no liability whatsoever for any loss arising from use of this information and reliance upon the comments, opinions and analyses in the material is at the sole discretion of the user.

Franklin Templeton has environmental, social and governance (ESG) capabilities; however, not all strategies or products for a strategy consider ESG as part of their investment process.

Products, services and information may not be available in all jurisdictions and are offered outside the U.S. by other FT affiliates and/or their distributors as local laws and regulation permits. Please consult your own financial professional or Franklin Templeton institutional contact for further information on availability of products and services in your jurisdiction.

Issued in the U.S. by Franklin Templeton, One Franklin Parkway, San Mateo, California 94403-1906, (800) DIAL BEN/342-5236, franklintempleton.com. Investments are not FDIC insured; may lose value; and are not bank guaranteed.

You need Adobe Acrobat Reader to view and print PDF documents. Download a free version from Adobe's website.

CFA® and Chartered Financial Analyst® are trademarks owned by CFA Institute.